HSC ECONOMICS · NEWS SUMMARY · STORY 2

STUDENT HANDOUT

IMF and World Bank meetings close amid war, debt and AI worries

IMF / Fortune / Atlantic Council / Outlook India, 13–18 October 2026 · Topic 1: The Global Economy · prepared 20 October 2026

3.1%
IMF forecast for world growth in 2026, then 3.4% in 2027 [1]

4.7%
global inflation forecast for 2026, up from 4.1% in 2025 [2][3]

32
economies now produce 95% of global growth, down from 54 in April [1][3]

6% → 14%
low-income countries' debt service as a share of revenue over a decade [3]

The IMF and World Bank held their annual meetings in Bangkok from 12 to 18 October, with G20 finance ministers meeting on 15 October [3][4]. The IMF's World Economic Outlook forecasts world growth of 3.1% in 2026, slightly better than its July estimate, but warns that growth is narrow, inflation is rising again because of the Strait of Hormuz energy shock, and debt is a growing danger for poorer countries [1][2][3].

KEY FACTS

- Advanced economies are forecast to grow 2.1% in 2026. Emerging and developing economies slow from 4.5% to 3.7% [1][2].
- Country forecasts for 2026: India 7.0%, China 4.5%, US 2.3%, euro area 1.1%, Japan 0.7%. The Middle East and Central Asia region is forecast to shrink, with Saudi Arabia at −3.3% [1][2].
- The forecasts assume oil averages about US$96 a barrel in 2026, around 41% higher than in 2025, and that Hormuz shipping resumes [1][2].
- Growth is concentrated: the US and China account for more than three-quarters of demand for AI-related chips and equipment, and only 32 economies make up 95% of global growth [1][3].
- Risks: a slow oil recovery plus rising bond yields could cut global growth by about 0.5 points in 2027; an AI downturn could cut it by more than 1 point [3].
- For Australia, the IMF cut its 2027 growth forecast to 1.6%, sees inflation easing from about 3.9% (2026) to 3.1% (2027), and expects a current account deficit of about 3.1% of GDP in 2026. It urged tighter control of government spending [5].
- The IMF and World Bank released a new debt framework for low-income countries, the first overhaul since 2017, taking effect in late 2027 [3].
- At the G20, Treasurer Jim Chalmers called for an end to the Middle East conflict and the reopening of the Strait of Hormuz. The US pushed for G20 discussion of China's large trade surplus [3][4].

SYLLABUS LINKS

Topic 1 The role of international organisations (IMF, World Bank, G20) in the global economy: surveillance, forecasting, debt relief and policy advice.

Topic 1 Differences in growth and development between economies: a 'highly uneven' recovery, and debt burdens in low-income countries.

Topic 1 Global financial flows and instability: rising bond yields, AI-related market risks.

Topic 2 Australia's current account deficit (forecast 3.1% of GDP) and the impact of global shocks.

KEY TERMS

World Economic Outlook (WEO): the IMF's twice-yearly report on global growth and inflation forecasts.

Supply shock: an event that suddenly changes costs or availability of a key input, such as oil.

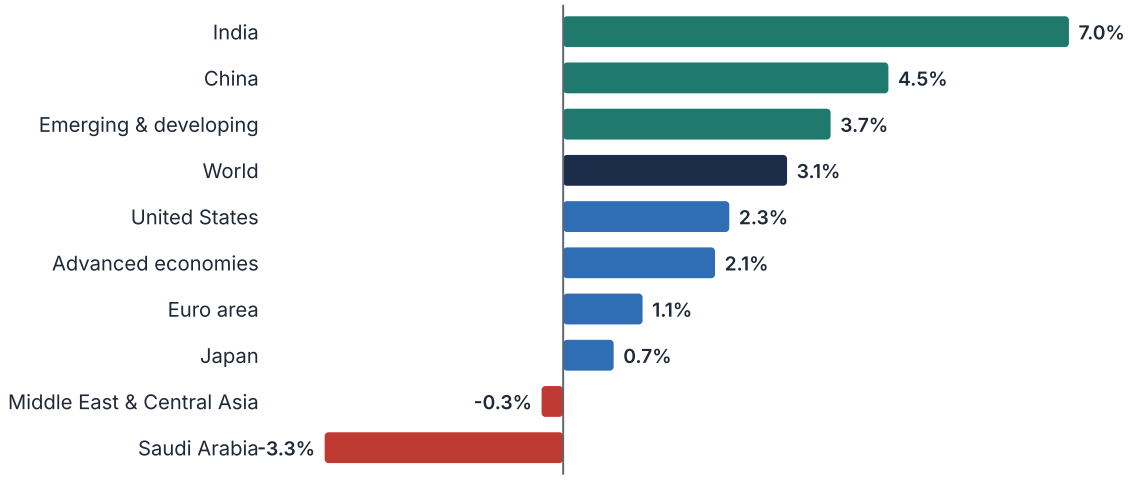
Emerging and developing economies: lower and middle-income countries such as India, Indonesia and most of Africa.

Debt service: interest and principal repayments a government must make on its debt each year.

Current account deficit: when payments to the rest of the world for goods, services and income exceed receipts.

G20: a forum of 19 countries plus the EU and the African Union that coordinates global economic policy.

IMF GROWTH FORECASTS FOR 2026 (REAL GDP, %)



Source: IMF October 2026 WEO as reported by Fortune and MAS Economics [1][2]. India is on a fiscal-year basis. Note the gap between fast-growing Asia and shrinking oil-region economies hit by the conflict.

COMPETING PERSPECTIVES

The system is working

- World growth was revised up to 3.1%, showing resilience despite war [1].
- A new debt framework aims to help poor countries fund health, education and climate needs [3].
- The IMF gives independent advice, such as urging Australia to restrain spending [5].

Global governance is under strain

- Growth is narrow and 'highly uneven'; 32 economies make up 95% of it [1].
- Low-income countries' debt service has more than doubled to 14% of revenue [3].
- The US warned the IMF against development-style lending and protesters opposed the meetings [3] [4].
- G20 members disagreed over China's trade surplus [3].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Evaluate the role of international organisations in promoting global economic growth and development.

- Use the IMF's 3.1% world forecast and its risk warnings as an example of surveillance [1][3].
- Use the new low-income debt framework and the 6% to 14% debt-service rise for development [3].
- Evaluate: growth is concentrated in 32 economies, and members are divided on trade [1][3].
- Link to Australia: the IMF's advice to tighten spending and its 1.6% growth forecast for 2027 [5].

SHORT-ANSWER QUESTIONS 15 marks

1. Identify TWO functions of the International Monetary Fund. **2 marks**

2. Using the data provided, explain why the IMF describes the global outlook as 'highly uneven'. **3 marks**

3. Explain how a global oil supply shock can lead to both higher inflation and lower economic growth. **4 marks**

4. Discuss the effectiveness of international organisations in addressing debt problems in low-income countries. **6 marks**

SOURCES

1. Fortune, *IMF raises 2026 global growth forecast to 3.1% as economic inequality widens*, 13 Oct 2026. https://fortune.com/2026/10/13/imf-global-growth-forecast-2026-ai-economic-divide/
2. MAS Economics, *IMF World Economic Outlook October 2026: What the new forecasts say*, Oct 2026. https://maseconomics.com/imf-world-economic-outlook-october-2026/
3. Atlantic Council, *Live updates from the IMF-World Bank Annual Meetings in Thailand*, 12–16 Oct 2026. https://www.atlanticcouncil.org/blogs/econographics/live-updates-from-the-imf-world-bank-annual-meetings-in-thailand-as-financial-leaders-take-on-ai-debt-and-geopolitical-upheaval/
4. Outlook India, *As protesters oppose IMF and World Bank, G20 finance chiefs meet in Bangkok*, 15 Oct 2026. https://www.outlookindia.com/international/as-protesters-oppose-imf-and-world-bank-g20-finance-chiefs-meet-in-bangkok-over-war-hit-economy
5. Proactive Investors, *IMF cuts Australian growth outlook to 1.6% as inflation and debt pressures build*, 14 Oct 2026. https://www.proactiveinvestors.com.au/a/ad6b98c6/imf-cuts-australian-growth-outlook-to-1-6-as-inflation-and-debt-pressure

Note: SMH and AFR coverage could not be retrieved; the figures come from secondary reports of IMF documents rather than the IMF tables themselves. No G20 communiqué outcome was confirmed in the sources fetched.